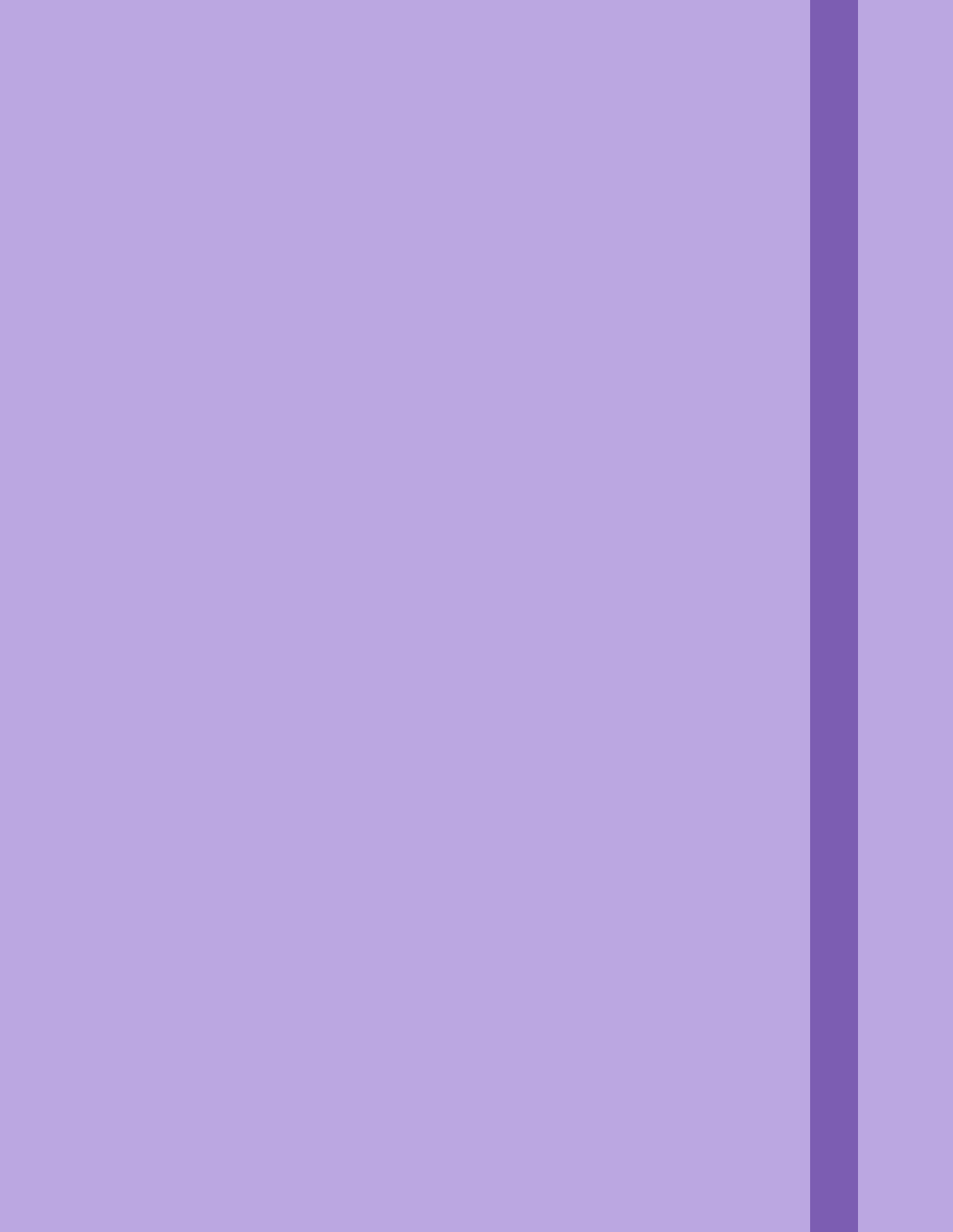




## Hypothesis Testing (Part 1)

A statistical hypothesis test is a method of statistical inference used to decide whether the data at hand sufficiently support a particular hypothesis. Hypothesis testing allows us to make probabilistic statement about population parameters.

**Null Hypothesis ( $H_0$ ):** is a statement that assumes there is no significant effect or relationship b/w the variables being studied. It serves as the starting point for hypothesis testing and represents the **status quo** or the assumptions of no effect until proven otherwise. The purpose of  $H_0$  is to gather evidence (data) to either reject or fail to reject the  $H_0$  in favour of alternate hypothesis, which claim there is a significant effect/relationship.

eg.) Lays Chips  $\mu_{\text{pkt}} = 100\text{gms}$

$H_0$ : We challenge its not 100gms, either less or more.

**Alternate Hypothesis ( $H_1$  or  $H_a$ ):** is a statement that contradicts the  $H_0$  & claims there is a significant effect/relationship b/w the variables being studied. It represents the **research hypothesis** or claim that the researcher want to support through stats. analysis.

eg.)  $H_0$ :  $\mu = 100\text{gm.}$

$H_1$ :  $\mu \neq 100\text{gms}$

**Important Points:**

- How to decide what will be  $H_0$  &  $H_1$  (typically  $H_0$  says nothing new is happening.)
- We try to gather data/evidence to reject  $H_0$ .
- It's important to note that failing to reject the  $H_0$  doesn't necessarily means that the  $H_0$  is true; it just means that there is not enough evidence to support  $H_1$ .

## Rejection region approach :

1. Formulate a  $H_0$  &  $H_1$ .
2. Select a significant level (This is the probability of rejecting the  $H_0$  when it is actually true, usually set at 0.05 or 0.01)
3. Check assumption (sample distribution)
4. Decide the test is appropriate (Z-test, T-test, Chi-square test, ANOVA)
5. State the relevant test statistic.
6. Conduct the test.
7. Reject or not reject  $H_0$ .
8. Interpret the result.

## Performing a Z-Test Eg. 1.

i.)  $\mu = 50$  (population mean)       $\sigma = 5$  (population std)  
 $n = 30$  (no. of samples)       $\bar{x} = 53$  (sample mean)

Step 1:  $H_0 : \mu = 50$

$H_1 : \mu > 50$

Step 2:  $\alpha$  (Significance level) = 0.05  $\rightarrow$  5%

Step 3: Normality valid /  $\sigma$  known

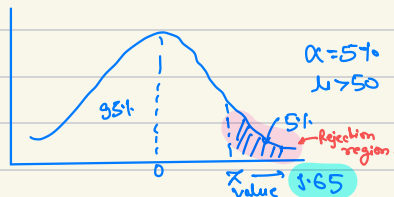
Step 4: Z-test.

Step 5:  $Z = ?$

Step 6: Z-statistic

$$Z = \frac{\bar{x} - \mu}{\sigma / \sqrt{n}} = \frac{53 - 50}{5 / \sqrt{30}} = 3.28$$

Step 7:



Since,  $Z > Z\text{-value}$   
 $3.28 > 1.65$

So, we can reject  $H_0$

Step 8:

$\therefore \mu > 50$

Example 2 :

$$\mu = 50 \quad n = 40 \quad \bar{x} = 49 \quad \sigma = 4$$

$$H_0: \mu = 50$$

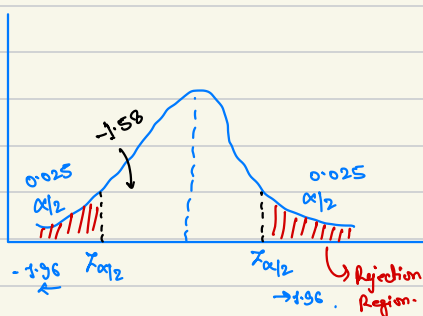
$$H_1: \mu \neq 50$$

$$\alpha = 5\% = 0.05$$

Normality valid /  $\sigma$  present.

$\therefore$  Z-test

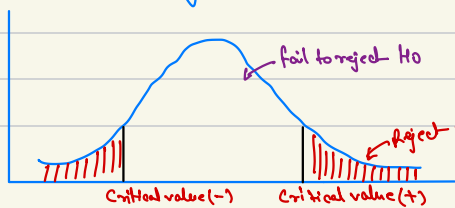
$$Z = \frac{\bar{x} - \mu}{\sigma / \sqrt{n}} = \frac{49 - 50}{4 / \sqrt{40}} = -1.56$$



$\therefore H_0$  can be rejected.

Significance Level : denoted as  $\alpha$  (alpha), is a predetermined threshold used in hypothesis testing to determine whether the  $H_0$  should be rejected/not. It represents the probability of rejecting  $H_0$  when it is actually true, also known as Type I error.

The critical region is the region of values that corresponds to the rejection of the  $H_0$  at some chosen probability level.



Problem with rejection region approach.

- Critical value is very important even for 0.01 difference, we have to reject  $H_0$ .
- Suppose  $z\text{-value} = 15.0$  &  $z = 2.0$ , for both we have to reject  $H_0$ .  
i.e. we do not have the strength measure to reject.

∴ We use p-value approach.

Type 1 vs Type 2 Error :

In hypothesis testing, there are 2 type of error that can occur while making  $H_0$  :-

Type 1 Error

Type 2 Error

Type 1 Error : (false Positive) error occur, when the sample results, lead to the rejection of the  $H_0$  when it is in fact true.

By choosing  $\alpha$  (significance level) a researcher can control risk of making Type 1 error.

Type 2 Error : (false Negative) error occur, when based on the sample results, the  $H_0$  is not rejected when it is in fact false.

This means that the researcher fails to detect a significant effect or relationship when one actually exists. The probability of committing a Type 2 error is denoted by  $\beta$ .

|              | $H_0$ True       | $H_0$ false      |
|--------------|------------------|------------------|
| Reject $H_0$ | Type 1 error     | Correct Decision |
| Accept $H_0$ | Correct Decision | Type 2 error     |

power of Test  $(1 - \beta)$

Trade off b/w Type 1 and Type 2 error.

## One sided vs two sided test :

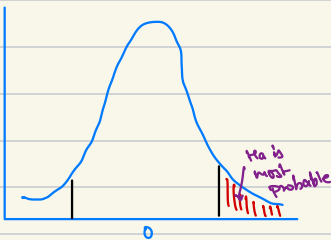
One-sided (One tailed) test : is used when a researcher is interested in testing the effect in a specific direction (either greater than or less than the value specified in  $H_0$ ). The  $H_1$  in a one sided test contains an inequality (either " $>$ " or " $<$ ").

eg.) A researcher want to test whether a new medication increases the average recovery rate compared to the existing medication.

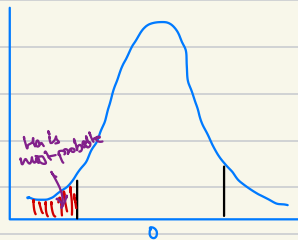
Two-sided (two tailed) test : is used when a researcher is interested in testing the effect in both directions (i.e., whether a specified value in the  $H_0$  is different, either greater or lesser). The  $H_1$  in a two tailed test contains a "not equal to" sign ( $\neq$ ).

eg.) A researcher wants to test whether a new medication has a different average recovery rate compared to the existing medication.

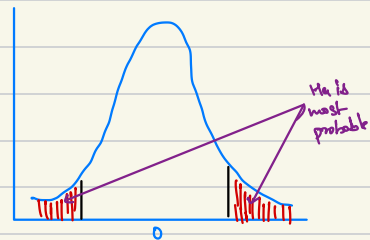
The main difference b/w them lies in the directionality of the  $H_1$  and how significance level ( $\alpha$ ) is distributed in the critical regions.



$H_a: \mu > \text{value}$   
Right-tailed



$H_a: \mu < \text{value}$   
Left tail



$H_a: \mu \neq \text{value}$   
Two-tail test.

Two tailed test :

Adv. : Detects effects in both directions.

More conservative : reduced Type's error.

Disadv : Less powerful : in case  $H_0$  is false

Not appropriate for directional hypothesis.

One tailed test :

Adv. : More powerful

Directional hypothesis.

Disadv : Missed effects

Increase risk of Type I error.

Uses of Hypothesis testing :

- Testing the effectiveness of interventions or treatments.
- Comparing means or proportions.
- Analysing relationships b/w variables.
- Evaluating the goodness of fit.
- A/B testing.
- Testing the independence of categorical variables.

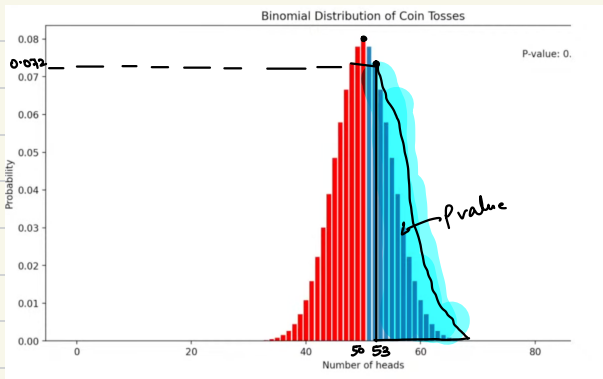
Uses in ML :

- Model Comparison
- Feature Selection.
- Hyperparameter Tuning.
- Assessing model assumptions.

## Hypothesis Testing (Part 2)

P-value :

P-value is the probability of getting a sample as or more extreme (having more evidence against  $H_0$ ) than our own sample given the  $H_0$  is true.



g.) experiment 1 coin  $\rightarrow$  100 times  
 $\swarrow$   
binomial distribution.  
 $\nwarrow$  pmf

$$H_0 : P(H) = P(T)$$

$$H_1 : P(H) > P(T)$$

experiment 100 times  $\rightarrow$  53 times H.

In simple words p-value is a measure of strength of the evidence against the  $H_0$  that is provided by our sample data.

Interpreting P-value :

With  $\alpha$

If  $p\text{-value} \leq \alpha$  : Reject  $H_0$

W/o  $\alpha$  (significance level) :

- $p < 0.01 \rightarrow$  Very strong evidence against  $H_0$
- $0.01 \leq p \leq 0.05 \rightarrow$  Moderate  $\rightarrow$
- $0.05 \leq p \leq 0.1 \rightarrow$  weak.
- $p > 0.1 \rightarrow$  No evidence against  $H_0$



P-value in context of Z-test :

We will use P-value approach.

Example 1 :

$$\mu = 50 \quad n = 30 \quad \bar{Y} = 53 \quad \sigma = 4.$$

Given

$$H_0 : \mu = 50$$

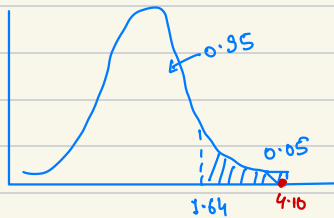
$$H_1 : \mu > 50$$

$$\alpha = 0.05$$

Normal Distr. /  $\sigma$  given

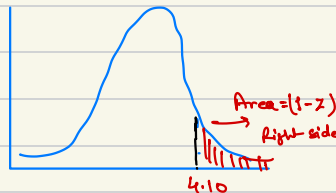
Z-statistic.

$$Z = \frac{\bar{Y} - \mu}{\sigma / \sqrt{n}} = \frac{53 - 50}{4 / \sqrt{30}} = 4.10$$



$\therefore$  Reject  $H_0$

P-value approach :



Z-table  $(4.10) \rightarrow 0.933$

Area  $\rightarrow (1 - 0.933)$

P-value  $\hookrightarrow 0.0001$

Since :  $p\text{-val} < \alpha$   
Reject  $H_0$ .

Example 2:

$$\mu = 50 \quad n = 40 \quad \bar{x} = 49 \quad \sigma = 5$$

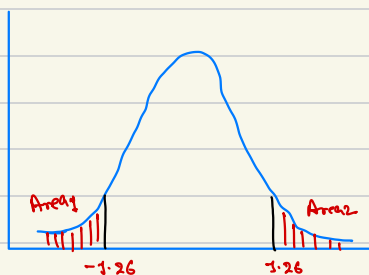
$$H_0 : \mu = 50$$

$$H_1 : \mu \neq 50$$

$$\alpha = 0.05$$

p-value approach:

$$Z = \frac{\bar{x} - \mu}{\sigma/\sqrt{n}} = \frac{49 - 50}{5/\sqrt{40}} = -1.26$$



$$Z\text{-table}(-1.26) = 0.103$$

$$p\text{-value} = \text{Area} = 2 \times 0.103$$

$$= 0.206$$

$$p\text{-value} > \alpha$$

$$0.206 > 0.05$$

$H_0$  : Accept.

## t-test :

Similar to  $\chi$ -test, but t-test we do not need  $\sigma$ , but we can use  $s$  (sample std).

Also, when we have  $n < 30$ .  
(no. of samples).

### Types of t-tests :

1. One-sample t-test : is used to compare the mean of a single sample to a known population mean. The  $H_0$  states that there is no significant difference b/w the  $\bar{x}$  and  $\mu$ , while  $H_1$  states there is a significant difference.
2. Independent two-sample t-test : is used to compare the means of 2 independent samples. The  $H_0$  states that there is no significant diff. b/w the means of the two samples, while the  $H_1$  states that there is significant difference.
3. Paired t-test (dependent two-sample t-test) : is used to compare the means of two samples that are dependent or paired, such as pre-test & post-test scores for the same group of subj. or measurements taken on the same subj. under two diff. conditions. The  $H_0$  states that there is no significant diff. b/w the means of the paired diff., while the  $H_1$  states that there is a significant difference.

### One-sample t-test :

#### Assumptions :

- Normality  $\rightarrow$  Normally distributed.
- Independent.
- Random sampling.
- Unknown population std. ( $\sigma$ )

g)

$$\mu = 50 \quad n = 25 \quad \bar{x} = 49.7 \quad s = 1.2$$

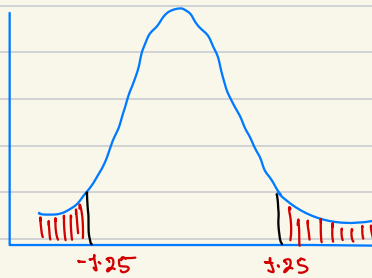
$$\alpha = 0.05$$

$$H_0: \mu = 50$$

$$H_1: \mu \neq 50$$

t-statistic.

$$t = \frac{\bar{x} - \mu}{s / \sqrt{n}} = \frac{49.7 - 50}{1.2 / \sqrt{25}} = -1.25$$



$$t\text{-score}(-1.25) = 0.11$$

$$\therefore p\text{-value} = 2 \times 0.11 \\ = 0.22$$

$$0.22 > 0.05$$

$$p\text{-value} > \alpha$$

$H_0$ : Holds.

## Independent 2 sample t-test :

Assumptions :

1. Independent of observations.
2. Normality.
3. Equal variance (homoscedasticity)  $[\sigma_A^2 = \sigma_B^2] \rightarrow$  F-test / Levene test.  
if not then : Welch's test.
4. Random sampling.

eg) Desktop users :  $n=30$  ,  $\bar{X}_A = 16.5$  ,  $s_A = 3.5$

Mobile users :  $n=30$  ,  $\bar{X}_B = 14.3$  ,  $s_B = 2.7$

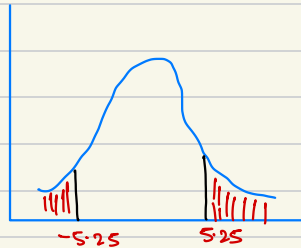
$$H_0 : \mu_A = \mu_B$$

$$H_1 : \mu_A \neq \mu_B$$

$$\alpha = 0.05.$$

$$t = \frac{\bar{X}_1 - \bar{X}_2}{\sqrt{\frac{s_1^2}{n_1} + \frac{s_2^2}{n_2}}}$$

$$t\text{-stat} = 5.25.$$



$$\text{degree of freedom} = n_1 + n_2 - 2 = 30 + 30 - 2 = 58. \text{ (for code)}$$

$H_0$  : Reject.

## Paired 2 sample test :

Common scenarios :

1. Before & After studies.
2. Matched or correlated groups.

Assumption :

1. Paired Observation
2. Normality
3. Independent of pairs.

eg)

Weight

|   | wt Before | wt After | Diff. |
|---|-----------|----------|-------|
| A | 50        | 55       | - 5   |
| B | 60        | 60       | 0     |
| C | 70        | 60       | 10    |
| D | 40        | 60       | - 20  |
| E | 25        | 100      | - 75  |

$\bar{x}_{diff}$

$s_{diff}$

$\mu_{diff} = \mu_{before} - \mu_{after}$

$\mu_{diff} = 0$

↑  
Normally  
distributed.

$$\alpha = 0.05$$

$$H_0: \mu_{before} = \mu_{after}$$

$$H_1: \mu_{before} > \mu_{after}$$

$$t = \frac{\bar{x}_{diff}}{s_{diff}/\sqrt{n}}$$

## Chi-Square Tests.

Also written as  $\chi^2$  distribution, is a continuous probability distribution that is widely used in statistical hypothesis testing, particularly in context of goodness-of-fit tests & tests of independence in contingency tables. It arises when the sum of the squares of independent standard normal random variable follows this distribution.

Chi Squared test has a single parameter, the degree of freedom (df), which influences the shape & spread of the distribution. The degree of freedom are typically associated with the no of independent variables or constraints in a statistical problem.

Some key property of a chi-squared distributions are:

- 1) It's continuous distribution, defined for non-negative values.
- 2) It is truly skewed, with the degree of skewness decreasing as the degree of freedom increases.
- 3) The mean of chi-squared distribution is equal to its degree of freedom, & its variance is equal to twice the degree of freedom.
- 4) As the degree of freedom increases, the chi-squared distribution approaches the normal distribution in shape.

The Chi squared distribution is used in various statistical tests, such as chi squared goodness of fit test, which evaluates whether an observed frequency distribution fits an expected theoretical distribution & the Chi-square test for independence, which checks the association b/w categorical variables in a contingency table.

$$\chi^2 = \overset{\substack{\uparrow \\ \text{normal} \\ \text{distribution}}}{Z^2}$$

degree of freedom (df) = 1.

$$\text{for } 2 \text{ } Z^2 \Rightarrow df = 2 \quad (\chi^2 = Z^2 + Z^2)$$

$$3 \text{ } Z^2 \Rightarrow df = 3 \quad (\chi^2 = Z^2 + Z^2 + Z^2)$$

$$\chi^2 = \sum_{i=1}^k Z_k^2 \quad (df=k)$$

df  $\uparrow$   $\rightarrow$  it moves toward normal distribution.

**Chi-Square Test :** is a statistical hypothesis test used to determine if there is significant association b/w categorical variables or if an observed distribution of categorical data differs from an expected theoretical distribution. It is based on Chi-Square ( $\chi^2$ ) distribution, and it is commonly applied in two main scenarios :

**Chi-square Goodness-of-fit Test :** it is used to determine if the observed distribution of a single categorical variable matches an expected theoretical distribution. It's often applied to check if the data follow a specific probability distribution, such as uniform or binomial distribution.

**Chi-Square Test for Independence (Chi-Square Test for Association) :** It is used to determine whether there is significant association b/w two categorical variables in a sample.



## $\chi^2$ - Square Test.

Goodness of fit  
(1 Categorical Col.)

Test for independence  
(2 categorical diff.)

eg) Die Rolled 60 times.

1 2 3 4 5 6

theoretical  $\rightarrow$  10 10 10 10 10 10

Observed  $\rightarrow$  5 15 5 15 5 15

Goodness of fit test

if observed follows uniform distri

Dice is fair else unfair.

eg) Titanic dataset  $\rightarrow$  PClass (1,2,3)  
 $\rightarrow$  Survived (1,0)

if Cols are independent or dependent.

Goodness-of-Fit Test: Helps to evaluate whether the data follows any particular distribution, such as normal, poisson etc.

Steps :-

- Define  $H_0$  and  $H_1$ .
  - $H_0$ : The observed data follows the expected theoretical distribution
  - $H_1$ : The observed data does not follow " " " "
- Calculate the expected frequencies for each category based on the theoretical distribution & sample size.
- Compute the Chi-Square test statistic ( $\chi^2$ ) by comparing the observed and expected frequencies. The test statistic is calculated as:

$$\chi^2 = \sum \frac{(O_i - E_i)^2}{E_i}$$

- $O_i$  : Observed frequency &  $E_i$  : Expected frequency, summation is taken.
- Determine the degree of freedom (df),  $df = k - 1$ ,  $k$  = no. of categories.
- Calc. the p-value for the test statistic using the Chi-square distribution with the calculated df.
- Compare the test-statistic to the critical value or the p-value.

### Assumptions :-

- 1.) Independence
- 2.) Categorical Data.
- 3.)  $E_i$  :  $E_i \geq 5$  performs well.
- 4.) Fixed distribution : Normal, Binomial, Poisson etc should be well defined before.

✖️ The Chi-Square Goodness-of-Fit Test is non-parametric test.

Example 1 : Die Example.

Die is fair, Die rolled 60 times.

I    2    3    4    5    6

O<sub>i</sub> : 12    8    11    9    10    10

H<sub>0</sub> : Die is fair

H<sub>1</sub> : Die is not fair.

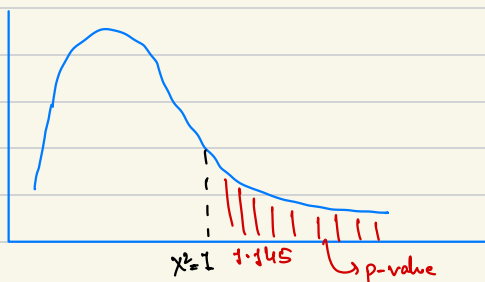
Because Die is fair  $\rightarrow$  Normal Distribution.

|                  |    |    |    |    |    |    |            |
|------------------|----|----|----|----|----|----|------------|
|                  | 1  | 2  | 3  | 4  | 5  | 6  | $\Sigma_i$ |
| O <sub>i</sub> : | 12 | 8  | 11 | 9  | 10 | 10 | 60         |
| E <sub>i</sub> : | 10 | 10 | 10 | 10 | 10 | 10 | 60         |

$$\chi^2 = \frac{(12-10)^2 + (8-10)^2 + (11-10)^2 + (9-10)^2 + (10-10)^2 + (10-10)^2}{10}$$

$$\chi^2 = 1$$

$\chi^2$  follow Chi-Square Distribution at  $df = k-1 \rightarrow df = 6-1 = 5$



$$\alpha = 0.05$$

$$p\text{-value} = 0.96$$

$$p\text{-value} > \alpha$$

H<sub>0</sub> : accepted.

Example 2: Website owner want uniform distribution, expect equal no. of people visit / day.

|       | M   | T   | W   | Th  | F   | S   | Sun | $\Sigma$ |
|-------|-----|-----|-----|-----|-----|-----|-----|----------|
| $O_i$ | 420 | 380 | 410 | 400 | 410 | 430 | 390 | 2840     |
| $E_i$ | 405 | 405 | 405 | 405 | 405 | 405 | 405 |          |

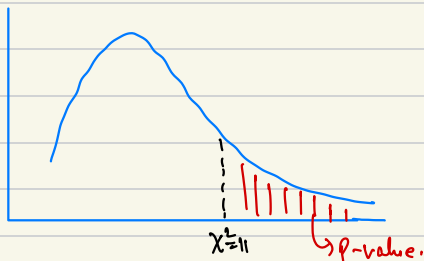
$H_0$ : Uniform Distribution

$H_1$ : Non uniform Distribution.

$$\chi^2 = \sum \frac{(O_i - E_i)^2}{E_i}$$

$$\chi^2 = 11$$

$$df = 6$$



$$p\text{-value} > \alpha$$

$H_0$ : Accepted.

Example 3: A survey of 800 families in a village with 4 children each revealed the following distribution:

|       |          |   |    |     |     |     |    |
|-------|----------|---|----|-----|-----|-----|----|
|       | Boys     | : | 0  | 1   | 2   | 3   | 4  |
| $O_i$ | Families | : | 32 | 118 | 290 | 236 | 64 |
| $E_i$ | :        |   |    |     |     |     |    |

In this data consistent with the result that male and female births are equally probable?

$$H_0: P(m) = P(f)$$

$$H_1: P(m) \neq P(f)$$

Bernoulli  $\begin{cases} \xrightarrow{M} \\ \xrightarrow{p} \end{cases} \times \text{times} \rightarrow \text{Binomial Distribution.}$

$$p(m) = p(f) = \frac{1}{2}$$

$$n = 4$$

$$P(x) = {}^n C_x p^x (1-p)^{n-x}$$

$$P(0) = {}^4 C_0 \left(\frac{1}{2}\right)^0 \left(\frac{1}{2}\right)^3 = \frac{1}{16} \times \overset{\text{total \# family}}{800} = 50$$

$$P(1) = {}^4 C_1 \left(\frac{1}{2}\right)^1 \left(\frac{1}{2}\right)^3 = \frac{1}{4} \times 800 = 200$$

$$P(2) = {}^4 C_2 \left(\frac{1}{2}\right)^2 \left(\frac{1}{2}\right)^2 = \frac{{}^4 P_2 \times 3 \times 1}{2! \times 2!} \times \frac{6 \times 1}{16} \times 800 = 300$$

$$P(3) = 200$$

$$P(4) = 50$$

|       |          |   |    |     |     |     |    |
|-------|----------|---|----|-----|-----|-----|----|
|       | Boys     | : | 0  | 1   | 2   | 3   | 4  |
| $O_i$ | Families | : | 32 | 118 | 290 | 236 | 64 |
| $E_i$ | :        |   | 50 | 200 | 300 | 200 | 50 |

$$\chi^2 = \frac{(32-50)^2}{50} + \frac{(118-200)^2}{200} + \frac{(290-300)^2}{300} + \frac{(236-200)^2}{200} + \frac{(64-50)^2}{50}$$

$$\chi^2 =$$

$$df = 4$$

$$p\text{-value} = ?$$

Compare p-value &  $\alpha$

$H_0$ : Accept / Reject.

## Test for Independence :

Also known as Chi-Square Test for association, it's a statistical test used to determine whether there is a significant association b/w two categorical variable in sample. It helps in identifying if the occurrence of one variable is dependent on the occurrence of another variable, or if they are independent of each other.

The test is based on comparing the  $O_i$  in contingency table with  $E_i$  under the assumption of independence of each other.

### Steps :-

- Formulate  $H_0$  and  $H_1$ .
  - $H_0$  : No association b/w the two categorical variables.
  - $H_1$  : There is association b/w the two categorical variables.
- Create a contingency table with the  $O_i$  for each category of the categories of the two variables.
- Calculate  $E_i$  for each cell in the contingency table assuming that  $H_0$  is True.
- Compute the Chi-Square Statistic :
$$\chi^2 = \sum \frac{(O_{ij} - E_{ij})^2}{E_{ij}}$$
- $df = (n_{rows} - 1) * (n_{cols} - 1)$
- $\alpha = 0.05$
- Compare p-value &  $\alpha$ .

### Assumptions :-

- Independence of Observations.
- Categorical variables.
- Adequate sample size ( $n > 5$ )
- Fixed marginal totals  $\rightarrow \sum \text{row and columns.}$

Example 1: A researcher want to investigate if there is association b/w the level of education (categorical var.) and the preferences for the particular type of exercise (cat. var.) among a group of 150 individuals. The researcher collects data and creates the following contingency table:

|             | Exercise Type |         |          |          |
|-------------|---------------|---------|----------|----------|
| Education   | Yoga          | Running | Swimming | $\Sigma$ |
| School      | 15            | 20      | 10       | 45       |
| Bachelors   | 20            | 30      | 15       | 65       |
| Master/Ph.D | 5             | 15      | 20       | 40       |
| $\Sigma$    | 40            | 65      | 45       | 150      |

$H_0$ : Education & Exercise are Independent.

$H_1$ : Associated.

Contingency Table -  $O_i$

Contingency Table -  $E_i$

|             | Exercise Type                   |         |          |          |
|-------------|---------------------------------|---------|----------|----------|
| Education   | Yoga                            | Running | Swimming | $\Sigma$ |
| School      | $\frac{45 \times 40}{150} = 12$ | 19      | 13.5     |          |
| Bachelors   | 17                              | 26      | 40       |          |
| Master/Ph.D | 10                              | 17      | 12       |          |
| $\Sigma$    |                                 |         |          |          |

$P(H) \& P(S)$

$$\Rightarrow \frac{1}{2} \times \frac{1}{6}$$

$$\Rightarrow \frac{1}{12} \text{ (Independent event.)}$$

$$P(\text{School}) \cdot P(\text{Yoga})$$

$$= \frac{45}{150} \times \frac{40}{150}$$

for No.

$$= \frac{45 \times 40}{(150)^2} \times 150$$

$$= 12$$

$$\chi^2 = \frac{(15-12)^2}{15} + \frac{(20-13)^2}{20} + \dots + \frac{(20-12)^2}{12}$$

$$\chi^2 =$$

$$df = (3-1) * (3-1) = 4$$

$\nearrow 0.04$   
p-value <  $\alpha$

$H_0 : 0.04 < \alpha \rightarrow \text{Reject.}$

Uses in Machine Learning :

1. Feature Selection.
2. Evaluation of Classification models.
3. Analysing relation b/w categorical features.
4. Discretization of continuous vars.
5. Variable selection in decision tree.



## ANOVA

ANOVA  $\rightarrow$  Analysis of Variance.

F-distribution:

- It's continuous probability distribution.
- Also known as Fisher-Snedecor distribution.
- Defined by 2 parameters  $\rightarrow$   $df_1$ : degree for the numerator.  
 $df_2$ : degree for the denominator.
- Positively skewed and bounded (left bound = 0)
- Test hypothesis about the equality of 2 variances in different samples & populations.
- Comparing statistical model.

$$\chi^2_1 \longrightarrow df_1$$

$$\chi^2_2 \longrightarrow df_2$$

$$F\text{-distribution} = \frac{\chi^2_1 / df_1}{\chi^2_2 / df_2}$$

One-way ANOVA test: is a statistical method used to compare the means of 3 or more independent groups to determine if there are any significant differences between them. It's an extension of the t-test, which is used for comparing the means of two independent groups. The term one-way refers to the fact that there is only one independent variable (factor) with multiple levels (groups) in this analysis.

The primary purpose of one-way ANOVA is to test the  $H_0$  that all the group means are equal. The  $H_1$  is that at least one group mean is significantly different from others.

Steps :-

- Define  $H_0$  &  $H_1$ .
- Calc. overall mean of all the groups combined and mean of all the group individually.
- Calc. the "between-group" and "within-group" sum of squares (SS).
- Find between-group & within-group df. (degree of freedom)
- " " " mean squares (MS)
- " " " F-statistics.

| Source of Variation           | Sum of Squares (SS)                                                                         | Degrees of Freedom (d.f.) | Mean Square (MS) (This is SS Divided by d.f.) and is an Estimation of Variance to be Used in F-ratio | F-ratio                                        |
|-------------------------------|---------------------------------------------------------------------------------------------|---------------------------|------------------------------------------------------------------------------------------------------|------------------------------------------------|
| Between samples or categories | $n_1(\bar{X}_1 - \bar{X})^2 + \dots + n_k(\bar{X}_k - \bar{X})^2$                           | $(k - 1)$                 | $\frac{SS \text{ between}}{(k - 1)}$                                                                 | $\frac{MS \text{ between}}{MS \text{ within}}$ |
| Within samples or categories  | $\sum (X_{ij} - \bar{X}_i)^2 + \dots + \sum (X_{ij} - \bar{X}_k)^2$<br>$i = 1, 2, 3, \dots$ | $(n - k)$                 | $\frac{SS \text{ within}}{(n - k)}$                                                                  |                                                |
| Total                         | $\sum (X_{ij} - \bar{X})^2$<br>$i, j = 1, 2, 3, \dots$                                      | $(n - 1)$                 |                                                                                                      |                                                |

Example 1 :

| A | B | C  |
|---|---|----|
| 3 | 1 | 8  |
| 6 | 8 | 6  |
| 3 | 9 | 10 |

Step 1:

$$H_0: \mu_A = \mu_B = \mu_C$$

$H_1$ : At least 1 of them is different.

Step 2:

no. of samples (n) = 9

no. of category (k) = 3

$$\text{Grand mean } (\bar{X}) = \frac{\bar{X}_A + \bar{X}_B + \bar{X}_C}{3} = 6$$

$$\bar{X}_A = 12/3 = 4$$

$$\bar{X}_B = 18/3 = 6$$

$$\bar{X}_C = 24/3 = 8$$

Step 3: Sum of Squares Total (SST)

$$SST = \sum (\bar{X} - n_{ij})$$

$$SST = (6-3)^2 + (6-6)^2 + (6-3)^2 + (6-1)^2 + (6-8)^2 + (6-9)^2 \\ + (6-8)^2 + (6-6)^2 + (6-10)^2$$

$$SST = 76.$$

Step 4: SSW  $\rightarrow$  Sum of Squares Within-group.

$$\bar{X}_A = 4 \quad \bar{X}_B = 6 \quad \bar{X}_C = 8$$

$$SSW = (4-3)^2 + (4-6)^2 + (4-3)^2 + \\ (6-1)^2 + (6-8)^2 + (6-9)^2 + \\ (8-8)^2 + (8-6)^2 + (8-10)^2$$

$$SSW = 52.$$

Step 5: SSW  $\xrightarrow[\text{SSW}]{\text{with respect to}}$  df (degree of freedom)

$$df_{SSW} : (n-k) \Rightarrow (9-3) = 6$$

$$df_{SST} : (n-1) \Rightarrow (9-1) = 8.$$

Step 6: Sum of Squares Between (SSB).

$$SSB = \sum n_i (\bar{X} - \bar{X}_i)^2 \\ = n_A (\bar{X} - \bar{X}_A)^2 + (\bar{X} - \bar{X}_B)^2 n_B + (\bar{X} - \bar{X}_C)^2 n_C \\ = 3 \cdot (6-4)^2 + 3 \cdot (6-6)^2 + 3 \cdot (6-8)^2$$

$$SSB = 24$$

Step 7:

$$df_{SSB} = (k-1) = (3-1) = 2$$

| Quantity | Value | df |
|----------|-------|----|
| SSB      | 24    | 2  |
| SSW      | 52    | 6  |
| SST      | 76    | 8  |

$$SST = SSW + SSB. \rightarrow \text{Always true}$$

Step 8: Mean Square (MS)

$$MS_B = \frac{SS_B}{df_B} = \frac{24}{2} = 12$$

$$MS_W = \frac{SS_W}{df_W} = \frac{52}{6}$$

Step 9:

$$f\text{-statistic} = \frac{MS_B}{MS_W} = \frac{12 \times 6}{52} = 1.4$$

Step 10:

Calc. p-value

import scipy.stats as stats

f\_statistic = 1.4

df1 = 2

df2 = 6

p-value = stats.f.sf(f\_statistic, df1, df2)

p-value = 0.33

p-value >  $\alpha$

$\therefore H_0$ : Accept. i.e.  $\mu_A = \mu_B = \mu_C$

Geometric Intuition :

$$(\bar{X} - \bar{X}_A)^2 + (\bar{X} - \bar{X}_B)^2 + (\bar{X} - \bar{X}_C)^2$$

$\uparrow$        $\uparrow$   
 fixed    var  
           random.

$\bar{X} - \bar{X}_A$  follow Normal distribution

$\sum (\bar{X} - \bar{X}_A)^2$  follow Chi-Square dist

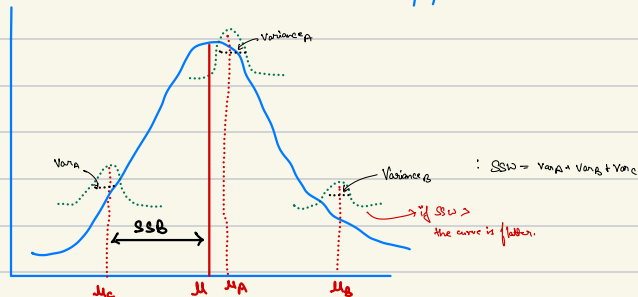
$$F = \frac{\frac{SSB}{df_{SSB}}}{\frac{SSW}{df_{SSW}}}$$

- F will be true due to square.

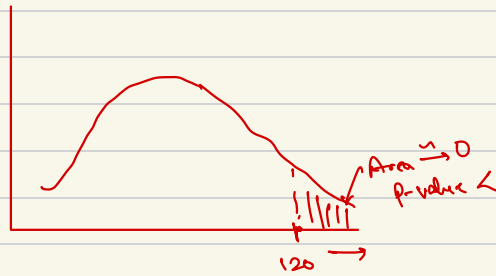
$F \uparrow \rightarrow SSB \uparrow \text{ \& } SSW \downarrow$ .

$H_0$ : All the 3 groups come from same population.  
 $\mu_A = \mu_B = \mu_C$

thus pop  $\mu$  is same.



As  $SSB \uparrow$ , maybe the groups are far away, may not be part of the population.



$\therefore H_0$  fails

Assumptions :

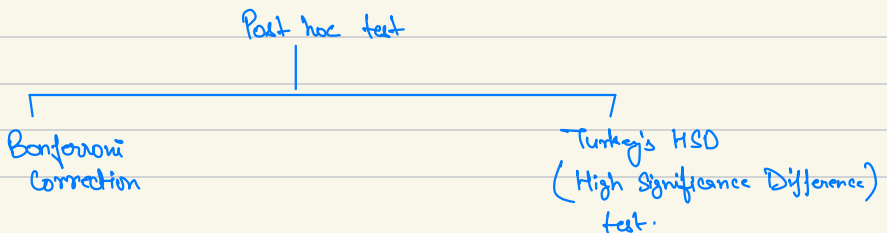
1. Independence
2. Normality
3. Homogeneity of variance.  $\rightarrow$  otherwise  $\rightarrow$  Welch's ANOVA.

Post-hoc Test :

Which value led to failure of ANOVA.

This test is performed after the ANOVA to determine which specific groups or pairs of groups have significantly diff. means.

Main purpose is to control PWER  $\rightarrow$  Family-wise Error Rate and adjust  $\alpha$  for multiple comparisons to avoid Type I Errors.



## Bonferroni Correction :

Iteration

- 1 AB  $\rightarrow$  t-test  $\rightarrow$  p-val.
- 2 BC  $\rightarrow$  t-test  $\rightarrow$  p-val.
- 3 CA  $\rightarrow$  t-test  $\rightarrow$  p-val.

Culpit combination will have p-val. less.

Problem with test  $\rightarrow \alpha = 0.05 \rightarrow$  Type 1 error. chance increases.

$\therefore$  Divide  $\alpha/3$  due to 3 iteration

$\hookrightarrow$  this is the correction.

*Interview Q.*

★ Why t-test is not used for more than 3 categories?

1. Increased type 1 error.
2. Difficulty in interpreting results.
3. Inefficiency.

## ML Applications :

1. Hyperparameter Tuning.
2. Feature Selection.
3. Algo. Comparison.
4. Model Stability assessment.

